HSC ECONOMICS: HOW TO EVALUATE POLICY SUCCESS IN AUSTRALIA

2009 HSC Economics syllabus • the economic objectives and what matters most right now

1 THE ECONOMIC OBJECTIVES IN THE HSC COURSE

1. **Economic growth + quality of life** — rising real GDP, jobs and living standards
2. **Full employment** — low unemployment + strong participation
3. **Price stability** — low, stable inflation
4. **External stability** — manageable current account and foreign debt/liabilities
5. **Distribution of income** — fairness / equity
6. **Environmental sustainability** — growth that protects the environment

These match the HSC focus on economic issues and economic policies in contemporary Australia.

2 CURRENT AUSTRALIA SNAPSHOT

INFLATION

- CPI 4.6% y/y (Mar 2026)
- Trimmed mean 3.3%
- RBA target 2–3%

EMPLOYMENT

- Unemployment 4.3% (Mar 2026)
- Underemployment 5.9%
- Participation 66.8%

GROWTH

- Real GDP +2.6% y/y (Dec 2025)
- GDP per capita +0.9%

PRODUCTIVITY

- Labour productivity −0.7% in 2024–25

EXTERNAL STABILITY

- Current account deficit $21.1b
- Net international investment liabilities $638.5b (Dec 2025)

EQUITY + SUSTAINABILITY

- Income Gini 0.307 (2022–23)
- Renewables = 36% of electricity generation in 2024

3 WHICH OBJECTIVES ARE MOST RELEVANT RIGHT NOW?

FOCUS AREAS

1. **PRICE STABILITY** — inflation is still above target
2. **GROWTH + PRODUCTIVITY** — output is growing but productivity is weak
3. **DISTRIBUTION OF INCOME / COST OF LIVING** — households still feel pressure

- **EMPLOYMENT:** relatively strong
- **EXTERNAL STABILITY:** manageable but worth watching
- **ENVIRONMENTAL SUSTAINABILITY:** increasingly important for long-run growth

4 CORE IDEA

A POLICY IS SUCCESSFUL IF IT MOVES THE ECONOMY CLOSER TO ITS OBJECTIVES — NOT JUST IF IT MAKES HEADLINES.

In HSC answers, always link the policy to an objective, use data, and make a judgment.